

Handbook on **INTRODUCTION TO FOOD PROCESSING SECTOR**



सूक्ष्म उद्यमों का संबल

**PM Formalisation of
Micro food processing Enterprises Scheme**

Food Processing EDP Training for Credit Linked Subsidy Beneficiaries Under PMFME Scheme

Training Handbook on

Module 1: Introduction to Food Processing Sector

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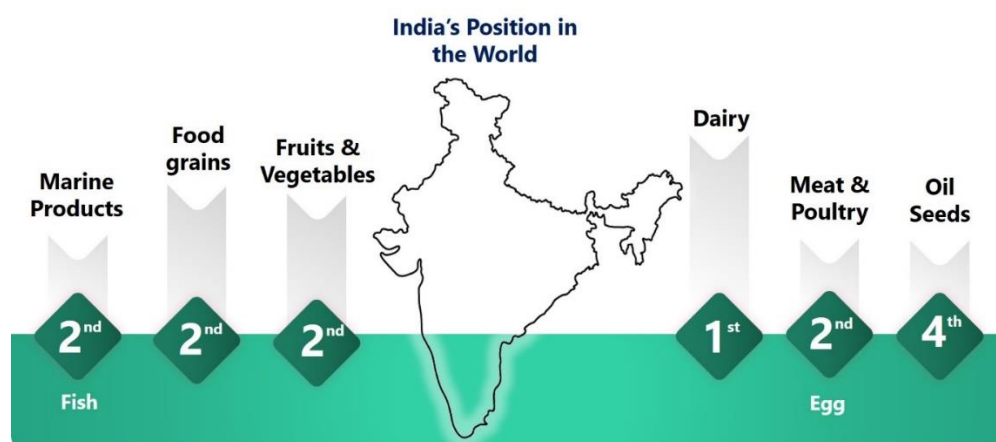
Chapter 1

Status and market size of food processing sector

1.1 Overview of Food Processing Sector

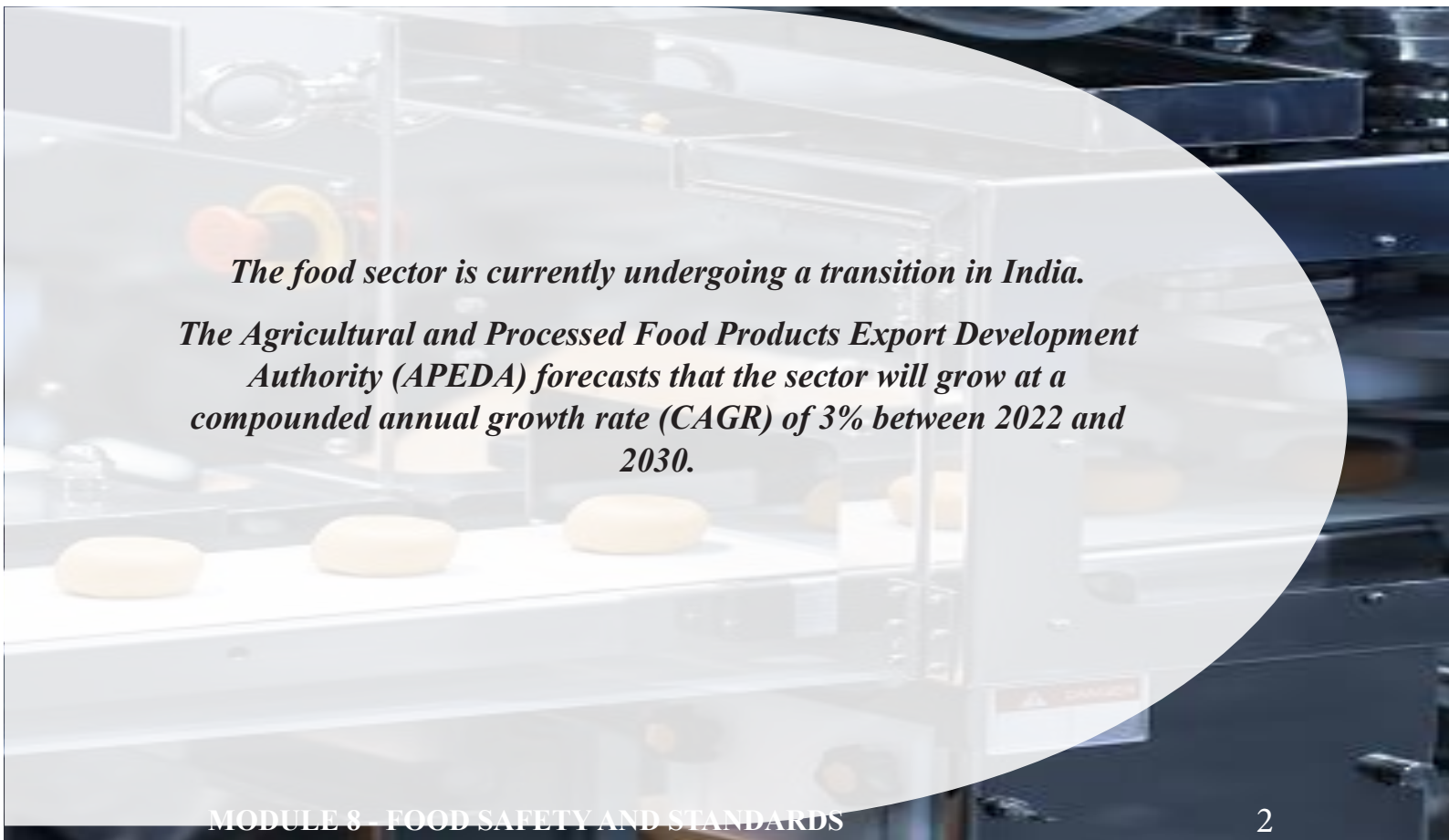
On a worldwide scale, India is the largest country in terms of food production, processing, supply, and consumption. Indian food market is ranked 6th in the world, with 70% of sales and 5th in production, consumption, and export. India exports 13% of its overall manufacturing output and 6% of its industrial investment. Manufacturing and agriculture contribute 8.80 percent and 8.39 percent, respectively, to India Gross Value Addition. The Indian food industry was valued at USD 143.51 Billion in 2020 and is projected to reach USD 235.67 Billion by 2028, growing at a CAGR of 6.6% from 2021 to 2028. The food processing sector will be led by the demand in retail and the rise of health-conscious consumers.

India ranks first in the world in the production of Milk, Ghee, Pulses, Ginger, Banana, Guava, Papaya and Mango and second in the world in the production of Rice, Wheat and several other vegetables & fruits but hardly 2% of the produce is processed. The land of spices producing all varieties worth over Rs. 3500 Crores (US \$ 900 million) amounting to 25-30% of world production, which is processed for value-addition and export. It grows 22 million tonnes of oilseeds covering most of the varieties. Other important plantation products include tea, coffee, cocoa and cashew. India's livestock population is largest in the world with 50% of world's buffaloes and 20% of cattle, but only about 1% of total meat production is converted to value added products. India has become a surplus producer from being an importer of food grains.



Through the Ministry of Food Processing Industries (MoFPI), the Government of India is taking all necessary steps to boost investments in the food processing industry in India. After the pandemic, people have become more conscious about their health, and hence, their preferences towards the kind of food and the intake has changed. This has increased the demand for gluten-free, low-calorie, natural preservatives, colours, and flavours. There is a surge in demand for Ready to Eat and Cook products. Organic products have become common among people and with the effect of social media on our lives, people are opting for innovative food products. The government has become more active in making the labelling and information on the packaging to be more intuitive to the consumer and has also forced the FMCG companies to think differently for packaging solutions as it has banned plastic, leading to eco-friendly packaging for food products.

The food and grocery retail market, valued at US\$ 11.3 trillion in 2021, is also among the largest in the global economy. India created history in agriculture and processed food exports by exporting products worth US\$ 25.6 billion in FY22. Export of APEDA products stood at US\$ 7.4 billion as of April-June 2022, up 31% compared with US\$ 5.7 billion over the same period last fiscal, according to the Directorate General of Commercial Intelligence and Statistics. Furthermore, exports of processed fruits and vegetables grew by 59.1%; cereals and miscellaneous processed items grew by 37.66%; meat, dairy and poultry products grew by 9.5%; basmati rice grew by 25.5%; non-basmati rice grew by 5%; and miscellaneous



***The food sector is currently undergoing a transition in India.
The Agricultural and Processed Food Products Export Development
Authority (APEDA) forecasts that the sector will grow at a
compounded annual growth rate (CAGR) of 3% between 2022 and
2030.***

products grew by 50%.

Food Processing is the transformation of agricultural products into food, or of one form of food into other forms. It includes many forms of processing foods, from grinding grains to make raw flour to home cooking to complex industrial methods that are employed to make convenience foods.

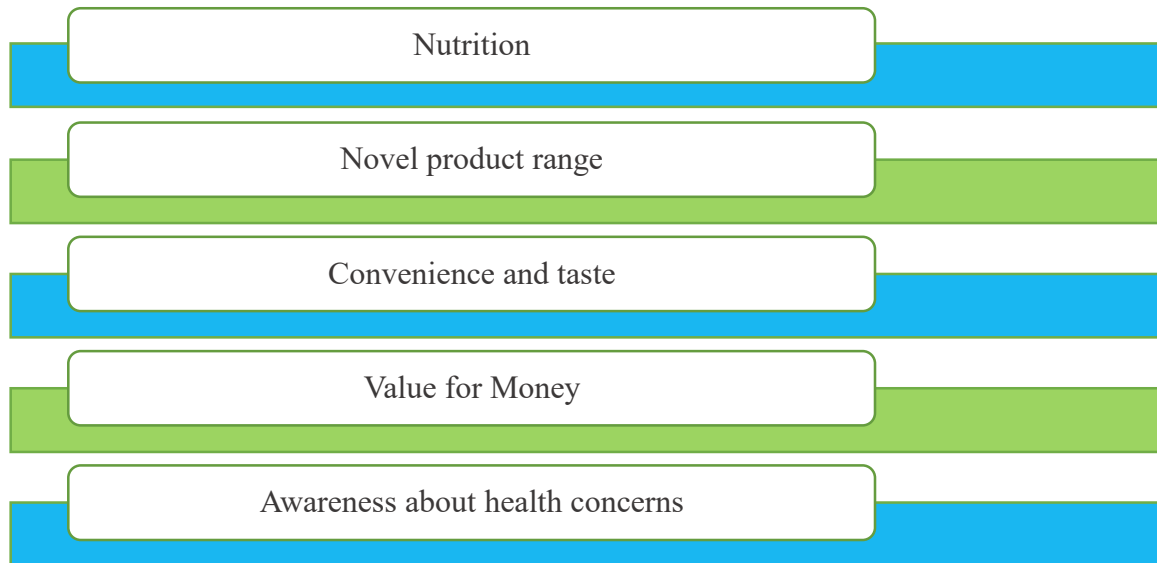
Food processing sector with higher level of processing helps in

- Reduction of wastage
- Improves value addition
- Promotes crop diversification
- Ensures better return to the farmers
- Promotes employment
- Increases export earnings

1.2 Market Size

On a worldwide scale, India is the largest country in terms of food production, processing, supply, and consumption. Indian food market is ranked 6th in the world, with 70% of sales and 5th in production, consumption, and export. India exports 13% of its overall manufacturing output and 6% of its industrial investment. Manufacturing and agriculture contribute 8.80 percent and 8.39 percent, respectively, to India Gross Value Addition. The Indian food industry was valued at USD 143.51 Billion in 2020 and is projected to reach USD 235.67 Billion by 2028, growing at a CAGR of 6.6% from 2021 to 2028. The food processing sector will be led by the demand in retail and the rise of health-conscious consumers.

Consumer preferences of Indian Market



Segments in Food Processing Sector

1. **Primary food processing** turns agricultural products, such as raw wheat kernels or livestock, into something that can eventually be eaten. This category includes ingredients that are produced by ancient processes such as drying, threshing, winnowing and milling grain, shelling nuts, and butchering animals for meat.
2. **Secondary food processing** is the everyday process of creating food from ingredients that are ready to use like baking bread, fermenting fish and making wine, beer, and other alcoholic products are traditional forms of secondary food processing.
3. **Tertiary food processing** is the commercial production of what is commonly called processed food. These are ready-to-eat or heat-and-serve foods, such as TV dinners and re-heated airline meals

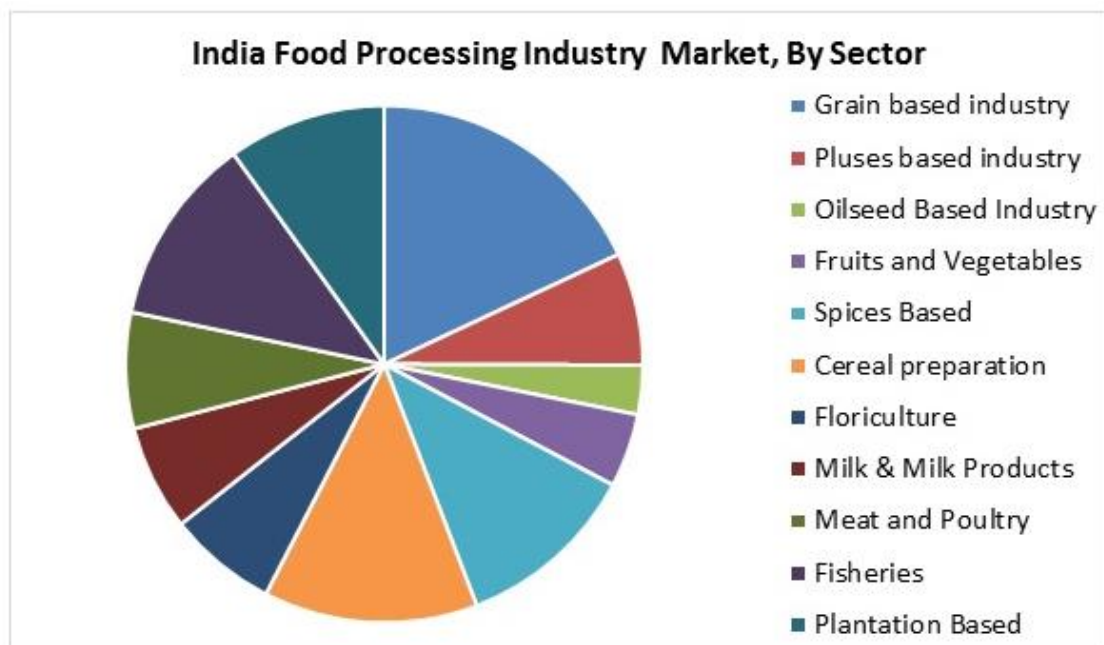


Fig: Pie Chart of different Sectors of Food Processing Industries.

1.3. Market Growth of Various Food Sub Sectors

- Fruits and Vegetables
- Meat and Poultry
- Milk and Milk Products
- Fisheries and Sea Food
- Grain Processing

A. Fruits and Vegetables

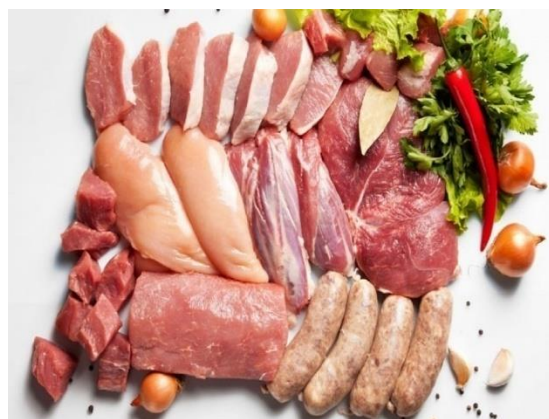
India is the second largest producer in Fruit and vegetable processing Sector. The annual horticultural production is 100 million metric hectares i.e., over 18% of India's gross agricultural output and has been grown on 12 million hectares which means 7% of the country's total cropped area. Fruits and vegetables are equally divided between the organized and unorganized sectors, with the holding of 48% of the share in organized sector.



While the products like juices and pulp concentrate are largely manufactured by the organized sector, and the unorganized sector's foothold is in the traditional areas of processed items like pickles, sauces and squashes. By size, pickles form the strongest category. The government expects the processing in this sector to grow to 10 % in 2010 and 25% of the total produce by 2025. Most of the units engaged in above are currently export oriented. Domestic consumption of processed fruits & vegetable products is low, indicating a potential for growth through increased penetration of the domestic market.

B. Meat and Poultry

India has a livestock population of 470 million, which includes 205 million cattle and 90 million buffaloes or we can say, 50% of buffaloes and 1/6th of the goat population. The Processing of meat products is licensed under Meat Food Products Order, (MFPO), 1973. Only about 1% - 2% of the total meat is converted into value added products. The Food and agriculture



organization estimates 4.42 million tonnes production of meat and poultry products. The population culled for meat are 11% buffalo, 6% Cattle, 33% sheep and 38% goat. Most of the meat are purchased raw and freshly consumed at home, restaurants and vice versa. Poultry processing is also at a nascent stage. The country produces about 450 million broilers and 33 billion eggs annually. The growth rate of egg and broiler production is 16% and 20% respectively. In the case of poultry, export from India is mostly to Maldives and Oman. Other markets such as Japan, Malaysia, Indonesia, and Singapore are being explored. The growing number of fast food outlets in the country has had a significant impact on the meat processing industry in India. As per capita incomes rise and urban families live in smaller units, the demand for processed meat products, which can be quickly cooked, has been rising. Most of the production of meat and meat products continues to be in the unorganised sector. Some branded products like Venky's and Godrej's Real Chicken are, however, becoming popular in the domestic market.

India has the largest livestock population in terms of cows and buffaloes and world's largest milk producer i.e., 221.06 million tonnes annually. In this sector, most of the processing is done by the unorganized sector and consumption of liquid milk accounts for 46% of the total production. Though the share of organized sector is less than 15%, and it is expected to rise rapidly, especially in the urban regions. Among



D. Grain Processing

A collection of various pulses and legumes, including lentils, chickpeas, and beans, displayed in glass jars and burlap sacks. The items are arranged on a white surface, showing a variety of colors and textures.

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E. Fisheries and Sea Food

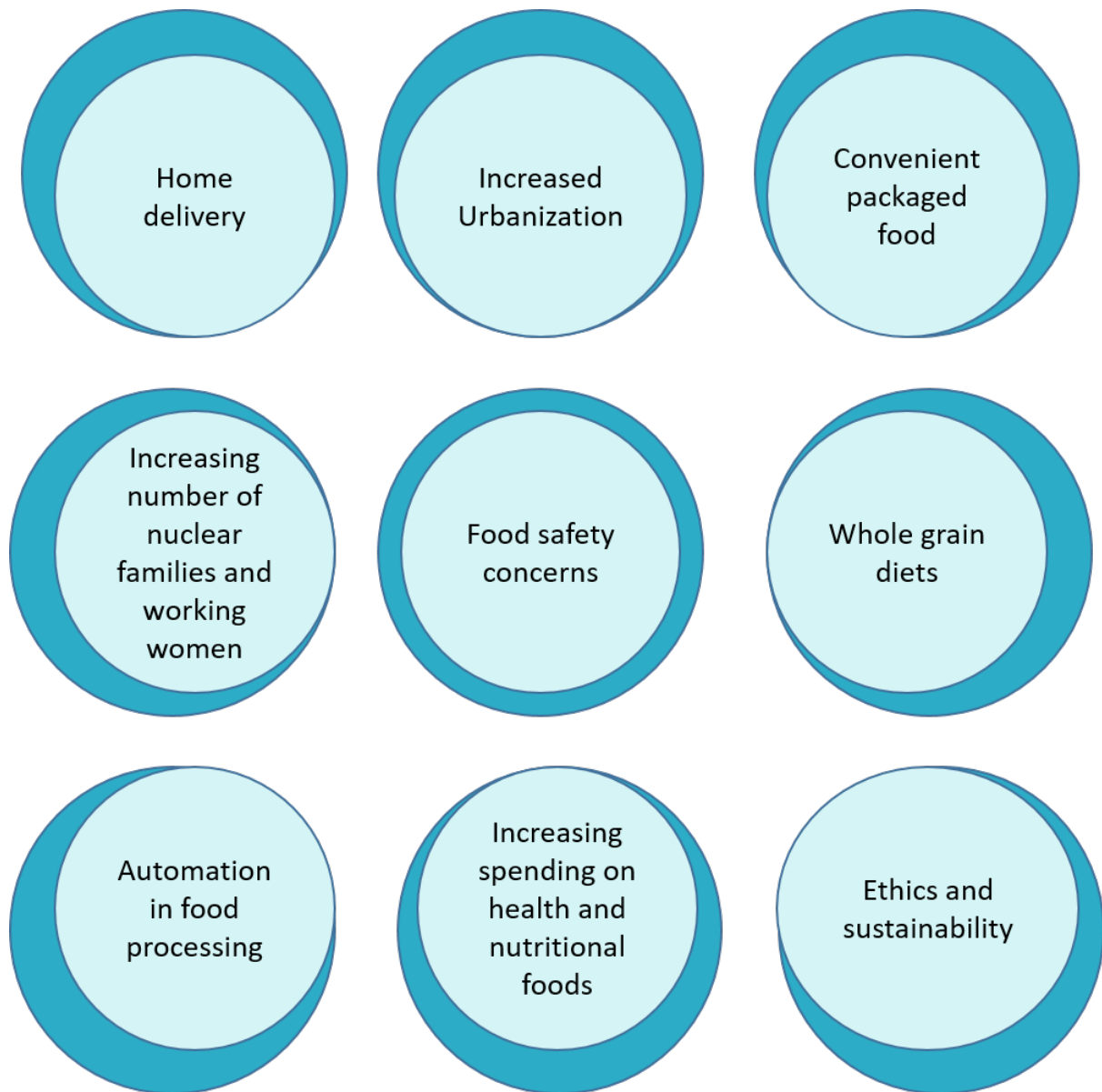
India is the third largest fish producer in the world and second largest in inland fish production. The fisheries sector contributes US\$ 4.4 billion to the national income, which is about 1.4% of the total GDP. With its over 8,000 km of coastline, 3 million hectares of reservoirs, 1.4 million hectares of brackish water, 50,600



sq. km of continental shelf area and 2.2 million sq. km of exclusive economic zone (EEZ). India is endowed with rich fishery resources and has vast potential for fishes from both inland and marine resources. The processing of fish into canned and frozen forms is carried out almost entirely for the export market. It is widely felt that India's substantial fishery resources are under-utilized and there is tremendous potential to increase the output of this sector. The units in the fish processing sector are largely small scale proprietary/ partnership firms or fishermen co-operatives. In the past ten years, the corporate sector has increased its operations in preservation, processing and export of coastal fish.

1.4 Key Growth Drivers of Food Processing Sector in India

In the aftermath of the pandemic, consumers have grown extremely conscious of their fitness and health, and demand organic, low-calorie or fat-free, natural or low preservatives in their processed food, along with convenient RTE products. Following are some of the trends to follow in food industry:



1.5 Contribution of FPI in the economic growth of the country

- Over the years, agricultural production in India has consistently recorded higher output.
- An abundant supply of raw materials, increase in demand for food products and incentives offered by the Government has impacted food processing sector positively.
- During the last 5 years ending 2018-19, FPI has been growing at an Average Annual Growth Rate (AAGR) of around 10 % as compared to around 3.11% in Agriculture at 2011-12 prices.
- Food Processing Sector has also emerged as an important segment of the Indian economy in terms of its contribution to GDP, employment and investment.

- The sector constituted as much as 8.98% GVA in Manufacturing 2018-19 at 2011-12 prices.

Growth of Foreign Direct Investment (FDI) in Food Processing Industry of India

- Economic reforms in mid-1991, aimed at improving the economic situation of the country and resulted in
 - progressive reduction in barriers to capital flows.
 - increase in international trade.
 - spread of market based economies.
 - opened up many opportunities to entrepreneurs.
 - accelerated the process of wealth creation.
- The share of FPI in total FDI has increased to 16.39 per cent in the recent years.
- FDI - an important catalyst for economic growth in developing country
- Foreign investment inflows are supplementing the scarcity of domestic investment in food processing sector.
- Automatic approval is granted for foreign investment up to 51% in high priority industries (which include all food processing industries (except milk food, malted foods and flour) and all items of packaging).

Exports of processed food in FPI Sector



India's geographical situation gives it the unique advantage of connectivity (Europe, the Middle East, Japan, Singapore, Thailand, Malaysia and Korea).

The food-processing industry - leading sectors in the manufacturing sector.

FPI of India can reach high level of development and become export competitive.

Value addition in India is about 7% - compared to China (23%), Philippines (45%) and UK (88%).

Indian food industry is characterized by the small and unorganized sector that accounts for 75% of the total industry.

Overall exports by FPI has risen from Rs. 10,832 (US \$ Million) in year 2006-07 to Rs. 36,057 (US \$ Million) in year 2012-13.

Also the percentage share of FPI sector has also increased from 9.6 % to 12 %.



Chapter 2

Understanding supply chain and various opportunities in food processing sector

2.1. Introduction to Food Supply chain

A robust food supply chain is essential in order to produce safe food products that meet the consumer demand for high quality food. The retail and hospitality industries that buy the products, for example, want to purchase high quality food at a low price from the supplier so they can still make a profit and offer competitive prices. The key to meeting consumer demand for high quality food products starts with a well-managed food supply chain, and this will also help to deter problems from arising and causing loss down the line.

Food supply chains are also vital in ensuring **food safety** and **traceability** of products, meaning both manufacturers and consumers can easily trace food back to its origins. For manufacturers, this is needed if product recalls or withdrawals are required and for consumers, it means that they can understand the origin of their food and how it has been produced.

In recent years, people have become more aware of the environmental impact that certain food supply chains may be having. A key takeaway from this is the focus on short food supply chains. There are economic, environmental and social benefits to shorter food chains and the increased connection to where their food comes from, is likely to lead to less waste and increased trust among consumers.

Longer supply chains, on the other hand, result in less understanding of the agricultural processes behind the food we eat, the challenges faced by farmers and the impact of our choices on the environment. In fact, short food chains offer mutual benefits to both farmers and consumers, acting as a model to increase transparency, trust, growth and equity.

What is Food Supply Chain?

The food supply chain is a summary of every process involved in producing and delivering food to households and distributors. Food goes through a lot of processes before landing on a person's table. All of these processes from farming, processing and packaging, and down to food delivery are a part of the food supply chain.

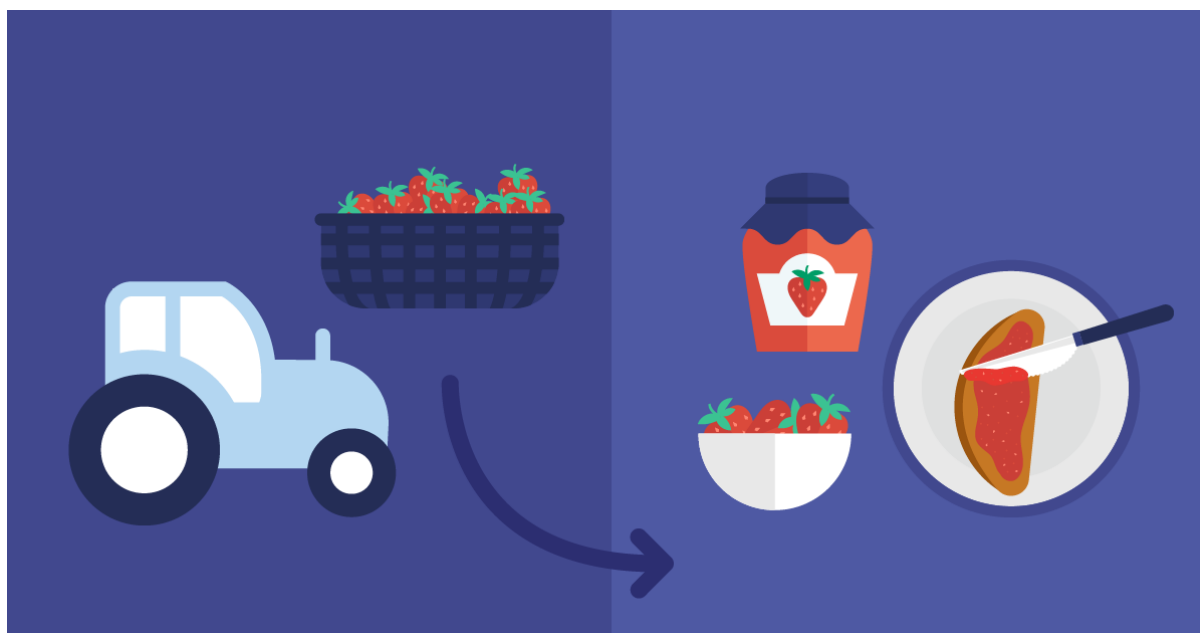


Fig: Food Supply Chain

There are different parts of the food supply chain apply to different industries. For example, for food management and distribution, their supply chain involves the incoming quantity of materials, ways to process raw ingredients, storage, delivery, and more. And for farmers, the supply chain involves sourcing seeds and livestock, harvesting crops and meat, and shipping them to manufacturers and food processors.

Why Food Supply Chain is Important?

Now days, Food supply chain holds a lot of significance by having a proper chain wherein farmers, food processors and distributors can trace each process which allows more transparency to them so that the event of small contamination source can easily traceable and finding solutions is much simpler.

As technology and food processing practices have evolved, humans have created complex systems to grow, process, and deliver food to people all over the world. But to ensure that as many people get food on their table as possible, each part of the process needs to be traceable.

A recent study, shows that over 1.4 billion tons of food waste are generated every year. For effective food waste management and to ensure that food goes where it needs to go, an efficient food supply chain is of outmost important. While significant chunks of food waste come from the homes and restaurants, there is also a large percentage from the farms and

manufacturing plants. To understand each step in bringing food to someone's table can generate a better idea of how to tackle certain problems and ensure that more people gain access to food.

How It Works?

A food supply chain or network is an end-to-end logistics integration that regulates the food supply's working and assures robust management. The food supply chain network begins from the input supplier integrating a chain for end-to-end fulfilment. The input supplier sources the commodities for the integration through inventory management, transport, and storage, followed by distribution to the end-users. The network of the food supply chain differs from the cold chain management, as the requirement varies for storage, transport, and distribution. However, several channels play an integral role in determining the system's efficiency apart from that the forecasting, planning, and consumer behaviour. These channels significantly impact the supply chain's working dynamics and work on the newly introduced concept of valued integration of supply chains. According to this concept, the supply chain management companies in India understand the system from the perspective of the end-user, analyse from the demand-pull approach, and consistently make an effort to encourage innovation and development in the food supply chain and networking. It is essential to understand the working dynamics of the food supply networks while entering the business and arranging a fully functional end-to-end supply chain integration; it is also important to source the arrangement from top supply chain companies in India.

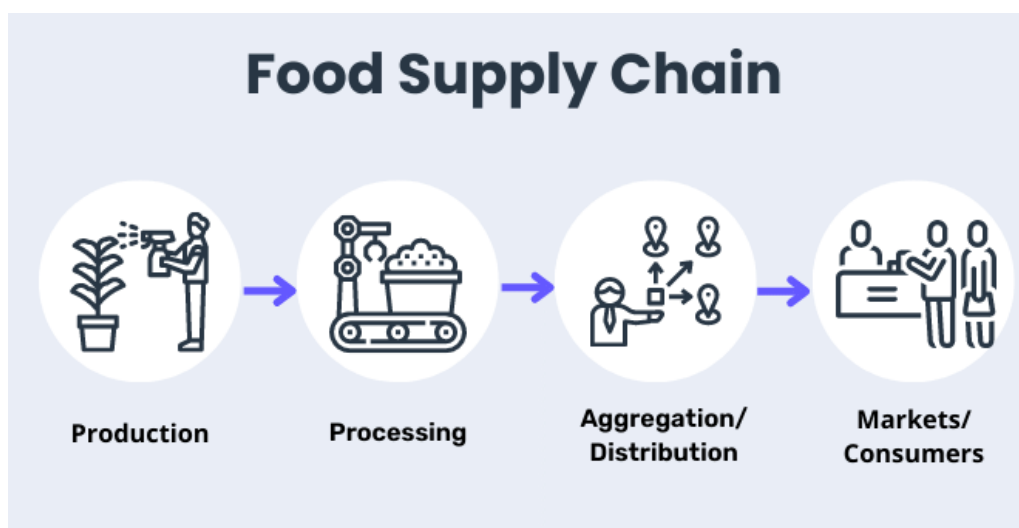


Fig: Flow Process of Food Supply Chain

In a simple way, we can say, that a farmer grows the food and transforms it into a specific ingredient. Then, a manufacturer processes the ingredients and package them before sending them out to distributors. From there, the distributors sell the food to consumers and restaurants, who ultimately eat and consume the food at the end of the chain. There are few new technologies which makes the Supply chain process easier and effective. They are:

2.2. Some of the Applications of New Technologies in Food Supply Chain

1. Cloud-Based Communication

With cloud-based communication, there's no more reliance on in-person meetings and consistent scheduled interaction with each person within the supply chain. When your communication is cloud-based, you can lay out the guidelines of each process, making it easy for staff, executives, and other professionals involved in the chain to understand their part and responsibilities.

This allows for real-time data exchanges that can help you make important decisions on inventory, procedures, and transportation. With this constant communication, all links in the supply chain can mitigate problems quickly and make choices based on accurate and updated data throughout every step in the process.

2. Inventory Systems

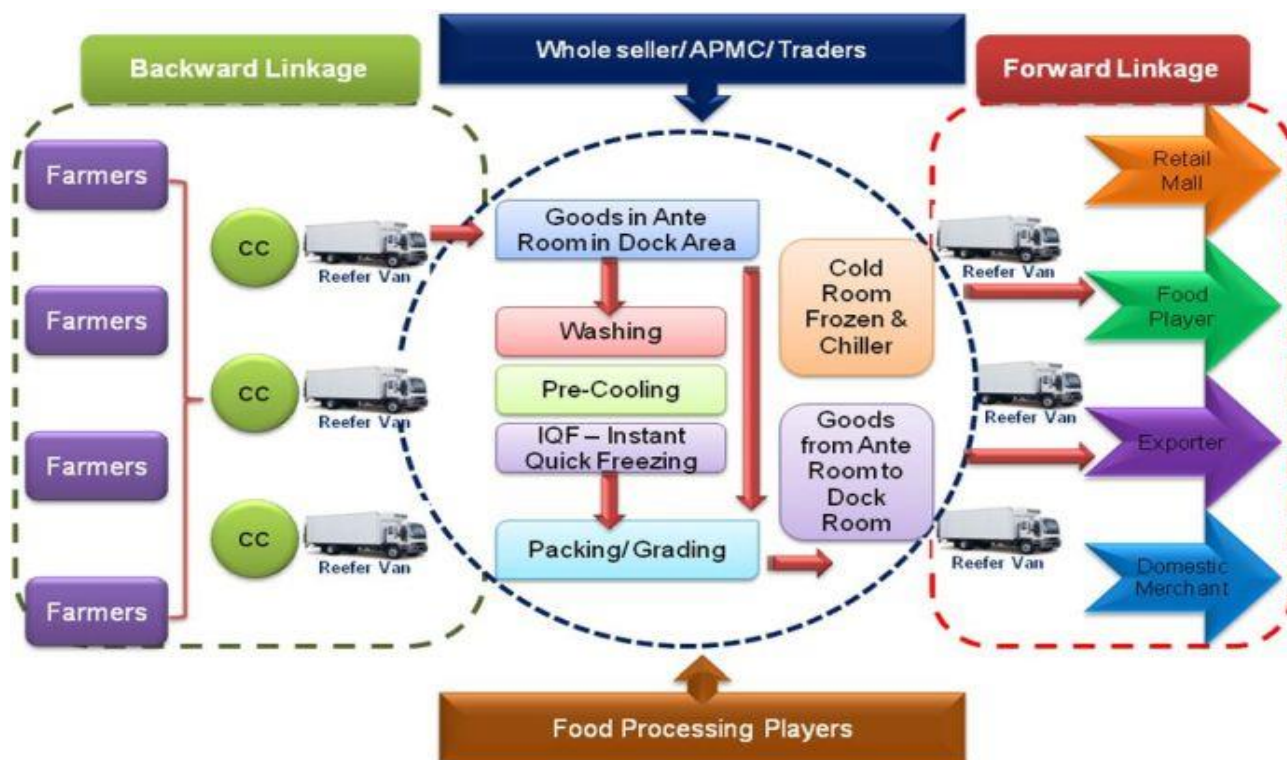
An efficient inventory system within supply chain management is crucial to profitability. Taking advantage of the latest technologies in inventory systems, such as automated inventory counts and order tracking, helps ensure you have the most accurate and updated numbers at all times. With access to inventory numbers and statistics at the touch of a button, supply chain management is quick and reliable.

2.3. Understanding the Backward Linkages and Forward Linkages

It is really important to understand that What is **Backward Linkages** and **Forward Linkages**?

These linkages involve the sale of goods and services from one business to another and are often the most efficient way of ensuring that the supply chain is working.

Backward Linkages refers to the consolidating chains from farm to processing centres and to integrate with ancillary industries. It measures the impact of final demand changes on output. Whereas, the Forward Linkages refers to the part of the non-farm sector that uses agricultural output as an input. It measures the impact of value-added changes on price.



KEY ADVANTAGES OF FORWARD AND BACKWARD LINKAGES

1. In food processing industry, the input as well as output products are perishable. So, effective and seamless backward and forward linkages are crucial for success of any business. In fact, inputs such as fruits, vegetables, dairy products, meat, poultry and fish are so much perishable that lack of transportation and backward links would result in their waste.
2. Further, for industry players, effective links add value to the brand by ensuring high quality end to end and better control over the factors of production resulting in cost saving and enhanced efficiency. These links provide the industry players better hold over the market and aid in facing competition.
3. However, such links may also lead to monopolization thus may curtail the freedom for producer and consumer in the long run.
4. The forward and backward integration favours large businesses and MNCs thus it may adversely impact the small ventures and start-ups due to centralization. It may result in

diverged attention and may hinder the specialization process which may result in decreased efficiency.

There are various interventions for strengthening Forward and Backward Integration in Food Processing Industry. As the result of interventions by the government the sector is undergoing a formalization thus opening avenues for forward and backward integration.

In context with Food Processing Industry, a Food Processing Unit needs to have strong backward linkages with the **farmers, farmer producer organizations (FPOs), self-help groups (SHGs)**, farmer's groups etc. Further, to be able to sell its processed food, it needs to develop strong forward linkages with wholesalers, retailers, exporters etc.

2.3.1 What is BACKWARD LINKAGE?

- The feedback effects generated by a base industry on the development of the base sector is called backward linkage. The development of the food processing industry has many feedback effects on the agriculture sector itself.
- Once a food processing industry is established, it results in increasing the demand of raw materials provided by the agriculture sector. The establishment of processing facilities is itself an essential first step towards stimulating both consumer demand for the processed product and an adequate supply of the raw material.
- The provision of transport, power and other infra-structural facilities required for agro-industries also benefits agricultural production. The development of these and other industries provides a more favourable atmosphere for technical progress and the acceptance of new ideas in farming itself.

Over 70% of the rural households depend on agriculture. Agriculture is an important sector of Indian economy as it contributes about 17% to the total GDP and provides employment to over 60% of the population. Farmers are the driving force of the economy. That's why, a major sum of our population is directly or indirectly involved in farming. Furthermore, each industry is dependent on the agriculture products to produce the final products in food processing sector.

2.3.1.1 Farmer Producer Organization (FPO):

- FPOs are voluntary organizations controlled by their farmer-members who actively participate in setting their policies and making decisions.

- They are open to all persons who are able to use their services and willing to accept the responsibilities of membership, without gender, social, racial, political or religious discrimination.
- FPOs operatives provide education and training for their farmer-members, elected representatives, managers, and employees so that they can contribute effectively to the development of their FPOs.
- FPOs in Gujarat, Maharashtra and Madhya Pradesh, Rajasthan and some other states have shown encouraging results and have been able to realise higher returns for their produce.

For example, tribal women in the Pali district of Rajasthan formed a producer company and they are getting higher prices for custard apples.

2.3.1.2 SELF HELP GROUP

According to the latest statistics, about **25%** of the Indian population belongs to the rural poor. Women make up one-third of the Indian labour force. However, social constraints have prevented them from having access to and making use of the available resources that may help them improve their living conditions. Self Help Group is seen by many as the catalyst for rural development, women, and social empowerment. Its importance in the Indian economy is seen through many success stories like the production of 13 different bio agents to support organic farming by Sabari Swasraya Sanghom of Nellarachal tribal hamlet, Kudumbashree SHG, etc. They are not only inspirational but also the obvious solutions to the existing socio-economic problems of India.

Let's See What Are Self Help Groups (SHGs)?

- It is an informal associations of people who choose to come together to find ways to improve their living conditions.
- It can be defined as self-governed, peer controlled information group of people with similar socio-economic background and having a desire to collectively perform common purpose.
- Villages face numerous problems related to poverty, illiteracy, lack of skills, lack of formal credit etc. These problems cannot be tackled at an individual level and need collective efforts.
- Thus SHG can become a vehicle of change for the poor and marginalized. It relies on the notion of “Self Help” to encourage self-employment and poverty alleviation.

Functions of Self Help Groups (SHGs)

- It looks to build the functional capacity of the poor and the marginalized in the field of employment and income generating activities.
- It resolves conflicts through collective leadership and mutual discussion.
- It provides collateral free loan with terms decided by the group at the market driven rates.
- Such groups work as a collective guarantee system for members who propose to borrow from organised sources. The poor collect their savings and save it in banks. In return they receive easy access to loans with a small rate of interest to start their micro unit enterprise.
- Consequently, Self-Help Groups have emerged as the most effective mechanism for delivery of microfinance services to the poor.

Advantages of Self Help Groups (SHGs)

- **Combating social evils:** The SHGs play a crucial role in overcoming social evils like alcoholism, drug addiction, gambling, etc.
- **Women empowerment:** Women SHGs make their members independent from social constraints and allow them to make independent decisions. They can even actively participate in the Gram Sabha.
- **Active participation in democracy:** SHGs can actively participate in the aspects of local governance. This would mean the inclusion of weaker and marginalised sections of the society in the local governance.
- **Increase employment opportunities in rural India:** It allows for micro-level entrepreneurship within the rural society and reduces too much dependence on agriculture.
- **Easier access to government schemes:** The government schemes are mostly meant for the marginalised sections of the society. It also prevents the exploitation and corruption of the government at the ground level.
- **Improves the standard of living:** The collective team effort by the SHGs for financial inclusion allows for the improvement in the living standard, family planning, healthcare, of the vulnerable sections of the society.

- **Financial discipline:** The members of the SHGs are encouraged to open savings accounts in banks. This assures improved living conditions, increased spending on education, health, etc.

Challenges of Self Help Groups (SHGs)

- Lack of knowledge and proper orientation among SHG-members to take up suitable and profitable livelihood options.
- Patriarchal mind set – primitive thinking and social obligations discourages women from participating in SHGs thus limiting their economic avenues.
- Lack of rural banking facilities – There are about 1.2 lakh bank branches and over 6 lakh villages. Moreover, many public sector banks and micro-finance institutions are unwilling to provide financial services to the poor as the cost of servicing remains high.
- Sustainability and the quality of operations of the SHGs have been a matter of considerable debate.
- No Security – The SHGs work on mutual trust and confidence of the members. The deposits of the SHGs are not secured or safe.
- Only a minority of the Self-Help Groups are able to raise themselves from a level of micro-finance to that of micro-entrepreneurship.

Opportunities in Self Help Groups (SHGs)

- SHGs often appear to be instrumental in rural poverty alleviation.
- Economic empowerment through SHGs, provides women the confidence for participation in decision making affairs at the household-level as well as at the community-level.
- Un-utilised and underutilised resources of the community can be mobilised effectively under different SHG-initiatives.
- Leaders and members of successful SHGs bear the potentiality to act as resource persons for different community developmental initiatives.
- Active involvement in different SHG-initiatives helps members to grow leadership-skills. Evidences also show that often women SHG leaders are chosen as potential

candidates for Panchayat Pradhan's or representatives to Panchayati Raj Institution (PRI).

2.3.2 What is FORWARD LINKAGE?

The interconnection of an Industry to other Industries to which it sells its Outputs. It refers to the consolidating the chain from processing industries to market or directly towards the consumers. This is called Forward Linkage. It is when, the establishment of a processing industry can lead to the development and establishing the number of advanced stage industries. For Example; Forest Industry, it is established as a base industry which results in establishment of vast number of advanced processing industries like manufacturing of paper, paper bags, stationery, boxes made of paper, cartons, wooden boxes and vice versa. There are many other examples such as products of vegetable oils and rubber which are used in a wide variety of manufacturing industries of footwear, leather goods and vice versa.

2.3.2.1 Who is WHOLESALER?

A wholesaler is a company or individual that purchases great quantities of products from manufacturers, farmers, other producers, and vendors and selling them to the distributors. They play the main role to improve the supply chain efficiency, which helps manufacturers and distributors reach end users more effectively. Today's wholesalers serve as an extended warehouse for distributors, granting access to numerous lines of products from national suppliers. They can also be retailers and manufacturers. For example, General Mills produces various foods, including cereal. They then distribute cereal to grocery stores that sell goods to the end-user. In this case, General Mills is both the manufacturer and the wholesaler.

2.3.2.2 Who is RETAILER?

While a wholesaler sells goods to the businesses, as they purchase goods to sell it further. On the other hand, a retailer targets final consumer and sells goods to them. In this way, these two business forms are one of the important intermediaries of the marketing channel. It ordinarily involves the selling of individual units or small lots to large numbers of customers by a business set up for that specific purpose. The work of the retailer is to deliver the goods to the customer. They receive the goods from wholesalers and producers at reduced prices and then sell them at an affordable price to the consumer.

2.3.2.3 Who is EXPORTER?

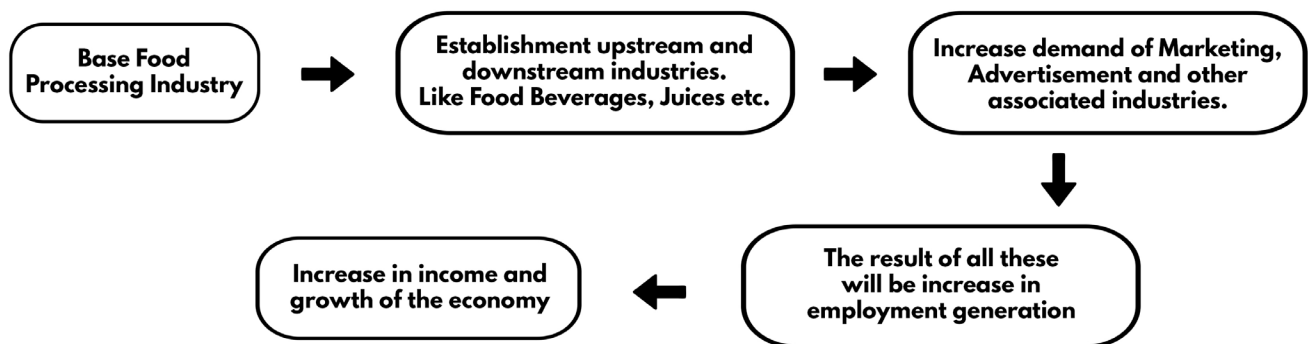
The exporter is the person or company that is authorized by customs and government authorities to send goods from one country into another. They may or may not be the actual

seller of the goods but they could be an organization acting on their behalf because exporters generate their revenues from selling into wider domestic and international markets and generates income independent of the performance of the local economy.

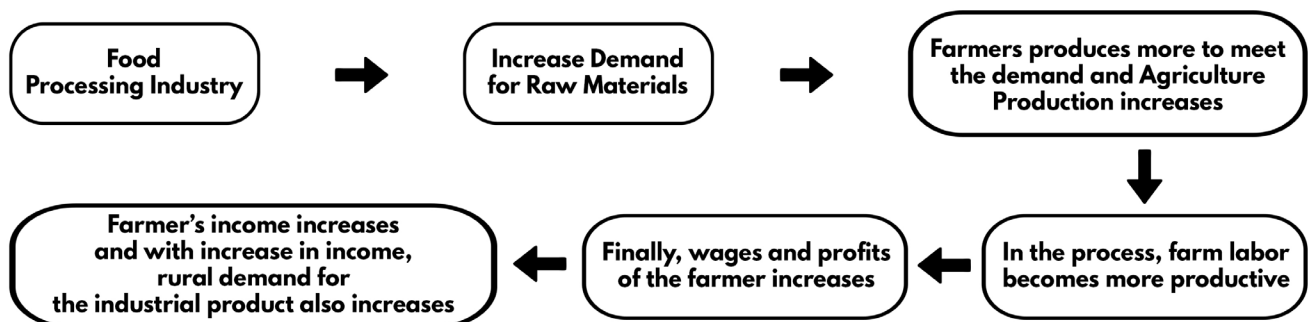
2.4. Economic Linkage Effects of Food Processing Industry

Linkages are one of the essential feature of the industry. It is a phenomenon which measures the capability of an industry to generate demand for the products of the other industries. There are three types of linkages:

1. **Forward Linkage:** It is when, the establishment of a processing industry can lead to the development and establishment of the number of advanced stage industries. For example, manufacturing of paper, paper bags, footwear and leather goods.



2. **Backward Linkage:** The feedback effects generated by a base industry on the development of the base sector is called backward linkage. The development of the food processing industry has many feedback effects on the agriculture sector itself. For example, once a food processing industry is established, it results in increasing the demand of raw materials provided by the agriculture sector. The establishment of processing facilities is itself an essential first step towards stimulating both consumer demand for the processed product and an adequate supply of the raw material.



3. **Sideways Linkages:** Sideways linkages are mostly derived from the use of by products and waste products of the main base industrial activity. For example: many food processing industries using agriculture raw materials produce waste that can be used further in production of fuel, bio-fuels, paper pulp and fertilizer. The production of sugar results in production of molasses as a waste product, which is used by the alcohol brewing industry in the production of ethanol.

Different stages of Development in Food Processing Industry

1. The Initial Stage/Less Developed Countries:

- Industrial processing of agricultural products tends to be limited to a few export crops
- Upstream processing industries prevail in their more primitive form, such as rice & flour milling
- An example of this stage would also be the plantation economy, where agro-industry & primary agriculture appears as a vertically integrated activity.
- Food processing in the early stages of development can be an important direct complement to agriculture as a source of employment for seasonal labor.

2. The Intermediate Stage/Middle Income Countries

- The intermediate stage of development of Food Processing Industry is characterized by some more sophisticated downstream industrial activities, but where off-farm employment, nevertheless remains the industry's main engine of growth.
- In this stage, the presence of a well- developed food processing industry ensures stronger links with sectors other than agriculture, both as providers of inputs (chemicals, glass, aluminum and paper) and as dependent sectors of further processing (marketing services).

3. The More Advanced Middle-Income Stage

- This stage is characterized by full development of the forward linkage chain, with several marketing and other services incorporated in the final product and product innovation prevailing over process innovation to provide a competitive advantage and sources of growth to the firms in the market.

- The linkage with the marketing chain tends to be well established, with both organizational & financial links between the producers and retail outlets. The pace at which new products are introduced is extremely high and this testifies to the importance of product innovation in this phase of industry cycle.

2.5. Opportunities in Food Processing Sector

1. Indian consumers are rapidly changing their eating habits. Trends indicate a sharp increase in on-the go eating, snacking in between meals, switching to healthier eating alternatives, pre-cooked ready to eat meals and increasing consumption of organic foods. This has led to a host of new opportunities in the consumer foods market for both domestic and international companies to build a stake in this fast growing processed food market.
2. While there are several companies entering the market, the sector is largely untapped given the low per capita consumption levels and the dramatic changes occurring in the Indian lifestyle.
3. India is also being developed and nurtured to become a global outsourcing hub for food processing because of its strategic location which connects to various export market destinations. There has been a steady improvement in the infrastructure available to establish Agri Export Zones (AEZ) in the country.
4. In the last few years the MFPI has funded the development of various Mega Food Park projects. The 'Make in India' campaign has established more than 40 Mega Food Parks (MFP) and also provided fundamental infrastructure to operationalize new companies rapidly. The estimated investment by the government in this initiative for FPS so far has been more than USD 2 billion.

Future Prospects

Food Processing Industry in India is increasingly seen as a potential source for driving the rural economy as it brings about synergy between the consumer, industry and agriculture. Ministry of food processing has a vision to become food factory of the world by 2025, when the level of processing would be 20% from the present one of merely 8%. The growth of the food processing industry is crucial for greater social and economic development of the country, considering it is the first organized linkage between the farm and shelf. This is particularly relevant in an emerging country like India, where equitable growth is a primary concern for the government.

Chapter 3

Various Government Schemes supporting food processing enterprises

INTRODUCTION

A strong and dynamic food processing sector plays a vital role in reduction in the wastage of perishable agricultural produce, enhancing shelf life of food products, ensuring value addition to agricultural produce, diversification & commercialization of agriculture, generation of employment, enhancing income of farmers and creating surplus for the export of agro & processed foods. In the era of economic liberalization, all segments including; private, public and co-operative sectors have defined roles to play and the Ministry promotes their active participation.

The Ministry of Food Processing Industries (MOFPI) has a clear goal of attaining these objectives by facilitating and acting as a catalyst to attract quality investments from within India and abroad into this sector with the aim of making food processing a national initiative.

With this overall objective, the Ministry aims to:

- Enhance farmer's income by better utilization and value addition of agricultural produce.
- Minimize wastage at all stages in the food processing chain by the development of infrastructure for storage, transportation and processing of agro-food produce.
- Introduce of modern technology into the food processing industries from both domestic and external sources.
- Encourage R&D in food processing for product and process development and improved packaging.
- Provide policy support, and support for creation of Infrastructure, capacity expansion/ Upgradation and other supportive measures form the growth of this sectors.
- Promote export of processed food products.

3.1 Various Schemes of MoFPI

The Ministry of Food Processing Industries (MOFPI) has introduced various schemes for the benefit of small scale industries, farmers, agriculture sector and vice versa. The Schemes are as follows:

3.1.1 PMKSY (Pradhan Mantri Kisan Sampda Yojana)



PM Kisan SAMPADA Yojana (PMKSY) was envisaged as a comprehensive package which will result in creation of modern infrastructure with efficient supply chain management from farm gate to retail outlet. It will not only provide a big boost to the growth of food processing sector in the country but also help in providing better returns to farmers and is a big step towards doubling of farmer's income, creating huge employment opportunities especially in the rural areas, reducing wastage of agricultural produce, increasing the processing level and enhancing the export of the processed foods. The PMKSY had seven component schemes. They are as follows:

1. **Mega Food Parks:** The Scheme of Mega Food Park aims at providing a mechanism to link agricultural production to the market by bringing together farmers, processors and retailers so as to ensure maximizing value addition, minimizing wastage, increasing farmer's income and creating employment opportunities particularly in rural sector. The Mega Food Park Scheme is based on "Cluster" approach and envisages creation of state of art support infrastructure in a well-defined agri / horticultural zone for setting up of modern food processing units in the industrial plots provided in the park with well-established supply chain. Mega food park typically consists of supply chain infrastructure including collection centres', primary processing centres', central processing centres', cold chain and around 25-30 fully developed plots for entrepreneurs to set up food processing units. The scheme has been discontinued by the Government

with effect from 01.04.2021 with provision for committed liabilities for ongoing projects only and 23 mega food parks are operational.

2. **Integrated Cold Chain and Value Addition Infrastructure:** The objective of the Scheme of “Integrated Cold Chain and Value Addition Infrastructure” is to provide integrated cold chain and preservation infrastructure facilities, without any break, from the farm gate to the consumer. It covers creation of infrastructure facility along the entire supply chain viz. pre-cooling, weighing, sorting, grading, waxing facilities at farm level, multi product/multi temperature cold storage, CA storage, packing facility, IQF, blast freezing in the distribution hub and reefer vans, mobile cooling units for facilitating distribution of non-horticulture, horticulture, fish/marine (except shrimp), dairy, meat and poultry. The scheme allows flexibility in project planning with special emphasis on creation of cold chain infrastructure at farm level. The scheme is under implementation since 2008.
3. **Agro-Processing Clusters:** The scheme aims at development of modern infrastructure and common facilities to encourage group of entrepreneurs to set up food processing units based on cluster approach by linking groups of producers/ farmers to the processors and markets through well-equipped supply chain with modern infrastructure. Each agro processing clusters under the scheme have two basic components i.e. Basic Enabling Infrastructure (roads, water supply, power supply, drainage, ETP etc.), Core Infrastructure/ Common facilities (ware houses, cold storages, IQF, tetra pack, sorting, grading etc.) and at least 5 food processing units with a minimum investment of Rs. 25 crores. The units are set up simultaneous along with creation of common infrastructure. At least 10 acres of land is required to be arranged either by purchase or on lease for at least 50 years for setting up of Agro Processing Cluster.
4. **Human Resources and Institutions:** The objectives of the scheme is to provide sector specific skilled workforce from floor level workers, operators, packaging and assembly line workers to quality control supervisor etc. in the various segments of food processing industries and contribute towards achieving the projected skilled human resources requirement as envisaged by National Skill Development Corporation (NSDC) in food processing sector i.e. 17.8 million persons by the year 2022.
 Apart from implementation of the Skill component under PMKSY, a number of initiatives have been taken by GOI to address the skill gap in the food processing sector. The Ministry of Food Processing Industries is working in close collaboration with other related agencies to augment skilled manpower in the food processing sector. The

Ministry is collaborating with the Food Industry Capacity and Skill Initiative (FICSI), the sector Skill Council (SSC) in food processing, for the validation of the Qualification Packs (QPs) for identified job roles and developing course curriculum for food processing sector through the National Institute of Food Technology Entrepreneurship and Management (NIFTEM).

5. **Food Safety and Quality Assurance Infrastructure:** Quality and Food Safety have become competitive edge in the global market for food products. For the all-round development of the food processing sector in the country. Apart from this, in the interest of consumer safety and public health, there is a need to ensure that the quality food products manufactured and sold in the market meet the stringent parameters prescribed by the food safety regulator.
6. **Creation/Expansion of Food Processing & Preservation Capacities:** The main objective of the Scheme is creation of processing and preservation capacities and modernisation/ expansion of existing food processing units with a view to increasing the level of processing, value addition leading to reduction of wastage. The processing activities undertaken by the individual units covers a wide range of post-harvest processes resulting in value addition and/or enhancing shelf life with specialized facilities required for preservation of perishables. While expansion of processing capacity is necessary to increase the level of processing and reduce wastage, the induction of modern technology is intended to make a clear difference in terms of process efficiencies as well as improving the quality of the end product. The setting up of new units and modernization/ expansion of existing units are covered under the scheme.

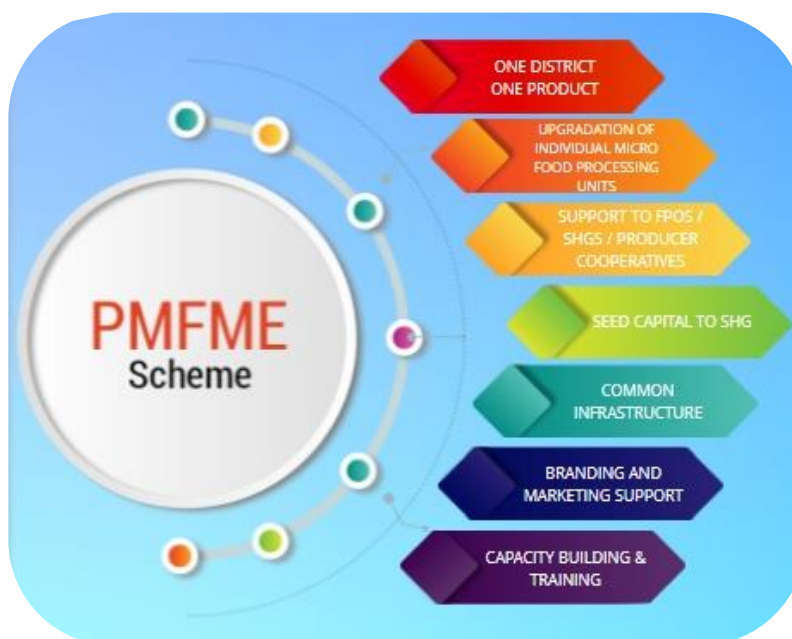
Scheme Overview

Government of India had approved the umbrella Central sector scheme, SAMPADA-Scheme for Agro-marine processing and Development of Agro-processing Clusters with a total allocation of Rs.6000 crores on 03.05.2017 for implementation period 2016-2020 coterminous with the 14th Finance Commission cycle. The scheme has been subsequently renamed as 'Pradhan Mantri Kisan SAMPADA Yojana (PMKSY)'. Later PMKSY, with the approval of Department of Expenditure, was extended for another year i.e. 2020-21.

Now Government of India (GOI) has approved the continuation of the Central Sector Scheme – Pradhan Mantri Kisan SAMPADA Yojana (Scheme for Agro-Marine Processing and Development of Agro-Processing Clusters) with an allocation of Rs.

4600 crores till 31.03.2026 coterminous with the 15th Finance Commission cycle. It is expected to leverage investment of Rs. 11,095.93 crores, benefiting 28,49,945 farmers and generating 5,44,432 direct/indirect employments in the country by the year 2025-26.

3.1.2 PMFME (Prime Minister - Formalization of Micro Food Processing Enterprises) Scheme



Ministry of Food Processing Industries (MoFPI) launched a pan India scheme called 'Pradhan Mantri Formalisation of Micro Food Processing Enterprises' (PMFME) in partnership with the State/ UT Governments under Aatmanirbhar Bharat Abhiyan which aims to enhance the competitiveness of existing individual micro-enterprises in the unorganized segment of the food processing industry and promote formalization of the sector and support Farmer Producer Organizations (FPOs), Self Help Groups (SHGs) and Producers Cooperatives along their entire value chain. Under the scheme, 2,00,000 micro food processing units will be directly assisted with credit linked subsidy. Adequate supportive common infrastructure and institutional architecture will be supported to accelerate the growth of the sector.

Objectives of the Scheme:

- Increased access to credit by existing micro food processing entrepreneurs, FPOs, Self Help Groups, and Co-operatives.

- Integration with an organized supply chain by strengthening branding & marketing.
- Support for the transition of existing 2,00,000 enterprises into the formal framework.
- Increased access to common services like common processing facility, laboratories, storage, packaging, marketing, and incubation services.
- Strengthening of institutions, research, and training in the food processing sector.
- Increased access for the enterprises, to professional and technical support.

The PMFME has seven component schemes. They are as follows:

1. ONE DISTRICT ONE PRODUCT: The scheme adopts the One District One Product (ODOP) approach to reap the benefit of scale in terms of procurement of inputs, availing common services and marketing of products. ODOP for the scheme will provide the framework for value chain development and alignment of support infrastructure. There may be more than one cluster of ODOP products in one district. There may be a cluster of ODOP products consisting of more than one adjacent district in a State and Support for agricultural products would be for their processing along with efforts to reduce wastage, proper assaying, and storage and marketing.

2. Upgradation of Individual Micro Food Processing Units:

a. Credit Linked Subsidy

Individual micro food processing units desirous of upgradation of their unit can avail credit-linked capital subsidy @35% of the eligible project cost with a maximum ceiling of Rs.10 lakhs per unit. The beneficiary contribution should be a minimum of 10% and the balance should be a loan from a bank.

b. Capacity Building /Training support for the micro enterprise

Training support would be provided to individual units that are being provided support for capital investment. The training support would also be provided to other existing units in the districts that are processing ODOP products. The following are the focus areas for capacity building under the Scheme:

- Entrepreneurship development, essential functions of enterprise operations, marketing, bookkeeping, registration, FSSAI standards, Udyog Aadhar, GST Registration, general hygiene, etc.
- Specific training designed for ODOP product or the product produced by the unit including operations of necessary machines, hygiene issues, packaging, storage, procurement, new product development etc.



1. Support to FPOs/ SHGs/ Producer Cooperatives: The scheme would support clusters and groups such as FPOs/SHGs/ producer cooperatives along their entire value chain for sorting, grading, assaying, storage, common processing, packaging, marketing, processing of agri-produce, and testing laboratories.

a. FPOs and Producer Cooperatives would be provided the following support

- Grant @35% with credit linkage
- Training support
- The maximum limit of grant in such cases would be as prescribed.

b. SHGs would be provided with the following support:

- **Seed capital:** Seed capital @ Rs40,000/- per member of SHG for working capital and purchase of small tools would be provided under the scheme.

- **Support to individual SHG members as a single unit** of food processing industry with credit linked grant @35% with the maximum amount being Rs 10 lakh.
- **Support for capital investment** at the federation of SHG level, with credit linked grant @35%. The maximum limit of grant in such cases would be as prescribed.
- **Training & Handholding Support to SHGs:** For support to SHGs, a large number of trained resource persons are available with State Rural Livelihood Missions (SRLMs). These local resource persons of SRLM having expertise in agro-produce would be utilized for training, upgradation of units, DPR preparation, handholding support, etc.

2. Seed Capital to SHG: Seed capital @ Rs. 40,000/- per SHG member would be provided to those engaged in food processing for working capital and purchase of small tools. Priority would be given for SHGs involved in ODOP produce in giving seed capital. Seed capital as a grant would be provided to the SHG federation which, in turn, would be extended to members as a loan through the SHGs. The SHG federation would provide this amount as a loan to the members of SHGs to be repaid to the SHG. Eligibility Criteria for Seed Capital for SHGs:

1. Only SHG members that are presently engaged in food processing would be eligible.

2. The SHG member has to commit to utilize this amount for working capital and purchase of small tools and give a commitment in this regard to the SHG and SHG federation.

3. Before providing the seed capital, SHG Federation should collect the following basic details for each of the members:

- Details of the product being processed;
- Other activities undertaken
- Annual turnover
- Source of raw materials and marketing of produce

3. Common Infrastructure: Common infrastructure support would be provided to FPOs, SHGs, cooperatives, any Government agency, or private enterprises. Common infrastructure created under the PM FME scheme should also be available for other

units and the public to utilize on a hiring basis for a substantial part of the capacity. The eligibility of a project under this category would be decided based on the benefit to farmers and industry at large, viability gap, absence of private investment, criticality to value chain, etc. Credit linked grant would be available @ 35%. The maximum limit of the grant in such cases would be as prescribed.

The following are the focus areas for capacity building under the scheme:

1. Premises for assaying of agriculture produce, sorting, grading, warehouse and cold storage at the farm-gate;
2. Common processing facility for processing of ODOP produce;
3. Incubation Centre should involve one or more product lines, which could be utilized by smaller units on a hire basis for the processing of their produce. The Incubation Centre may partly be used for training purposes. It should be run on a commercial basis.
4. Branding & Marketing Support: Marketing and branding support would be provided to groups of FPOs/SHGs/ Cooperatives or an SPV of micro food processing enterprises under the scheme. Following the ODOP approach, marketing & branding support would only be provided for such a product at the State or regional level.

Eligible items for support under the scheme:

- Training relating to marketing to be fully funded under the scheme
- Developing a common brand and packaging including standardization to participate in common packaging
- Marketing tie-up with national and regional retail chains and state-level institutions
- Quality control to ensure product quality meets the required standards

Support for marketing and branding requires developing a common brand, common packaging, and product standardization. The appropriate level for common branding and packaging would differ from place to place, case to case, and product to product. Whether it should be district, regional, or state level would be decided by the concerned SNA in each case. Therefore, the proposal for support to marketing and branding should be prepared by the SNA. Support for branding and marketing would

be limited to 50% of the total expenditure. The maximum limit of grant in such cases would be as prescribed. No support would be provided for opening retail outlets under the scheme.

Vertical products at the national level could also be provided support for branding & marketing on the same lines as described above for ODOP focus. Such support for common branding/packaging and marketing would be provided at the national level. Proposal for that support should be sent to MoFPI by the states or national level institutions or organizations or partner institutions.

4. Capacity Building & Training:

The PMFME Scheme under the Capacity Building component could provide training for the following categories of persons:

- Individual micro-food processing enterprises with credit linked grant under the Scheme
- Individual existing micro-food processing enterprises that are not taking loan under the Scheme
- Workers of micro-food processing enterprises and groups, such as SHGs/FPOs/Cooperatives
- Members of SHGs/FPOs/Cooperatives that are engaged in food processing activities
- Government officials and other resources person engaged in the implementation of the PMFME Scheme- Training of Orientation of the Scheme.

National Institute of Food Technology, Entrepreneurship and Management (NIFTEM), Thanjavur
 राष्ट्रीय खाद्य प्रौद्योगिकी, उद्यमशीलता एवं प्रबंधन संस्थान, तंजावूर
(An Institute of National Importance, formerly Indian Institute of Food Processing Technology - IIFPT)
 Ministry of Food Processing Industries, Government of India

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खाद्य प्रसंस्करण उद्योग मंत्रालय
MINISTRY OF
FOOD PROCESSING INDUSTRIES



**Launch of PM FME Scheme under
Aatmanirbhar Bharat Abhiyan**

**PM FORMALISATION OF
MICRO FOOD PROCESSING ENTERPRISES SCHEME**

**Ministry of Food Processing Industries
Government of India**





Hon'ble Union Minister for
Food Processing Industries



Hon'ble Minister of State for
Food Processing Industries

No. of Active Qualified Master Trainers - 480

Food Domain - 374

EDP - 118

No. of Qualified Active District Level Trainers - 972

Food Domain - 635

EDP - 337

Nominations for District Resource Persons - 3319

Total No. of States Covered - 32

Total No. of Districts Covered - 530

No. of Qualified District Resource Persons In-Position - 1071

Total no of DLC Recommended Beneficiaries Trained - 6396

Total no of Seed Capital Beneficiaries Trained - 11695

Total no of Beneficiaries category 2 Trained - 6646

[Details here](#)
[Details here](#)
[Details here](#)
[Details here](#)

1. The Framework of training would be as following:

- Entrepreneurship Development Skilling (EDP+) program modified to meet the requirement of the food processing industry.
- Product Specific Skilling.

2. Three-level of training would be conducted under the Scheme:

- Master Trainers- EDP & product specific trainers would be nominated by SNA and the Training are coordinated and conducted by NIFTEMs and other national level research institutions;
- District Level Trainers- Each district to have a minimum of two trainers, one for EDP+ and one for ODOP/ product specific training;
- Beneficiaries- Individuals entrepreneurs and Groups of existing and new entrepreneurs who are involved in food processing at micro level. Leading to their formalization, up-gradation & scaling.
- In addition to this Workers' Training for Skilling, Safety and Hygiene, plant safety, etc. will also be imparted.

3.1.3 PLISFPI (Production Linked Incentive Scheme for Food Processing Industry)

The Production Linked Incentive Scheme (PLISFPI) proposes financial incentive to modernize and enhance competitiveness of the food processing industry by manufacturing specific categories of food products having high potential for growth in output and value addition. The tenure of the Scheme is six years from Financial Year 2021-22 to Financial Year 2026-27. It has an outlay of Rs 10900 crores and will create employment opportunities for nearly 2.5 lakh people by the year 2026-2027.



PLIS for developing Global Champions in Food Sector

The Central Sector Scheme - Production Linked Incentive Scheme for Food Processing Industry (PLISFPI) shall encourage the promotion of RTE/RTC food of Millet based products

- ◆ Recently, the United Nation General Assembly based on India's proposal has declared the **Year 2023** as the **"International Year of Millets"**. In this backdrop, Ministry has proposed to encourage the use of Millets in RTC/RTE products and incentivising them under the PLI Scheme in light of India's commitment towards wholesome food and a positive dietary.

Objective of the Scheme

1. Support the creation of global food manufacturing champions.
2. Promote Indian brands of food products.
3. Increase employment opportunities for off-farm jobs, ensure remunerative prices of farm produce.
4. Higher income to farmers.

The Food product segments covered in the scheme via

1. Ready to cook/ Ready to eat (RTC/ RTE) food including millet based products.

2. Processed fruits and vegetables.
3. Marine products
4. Innovative/ organic products of SMEs including free range eggs, Poultry meat eggs, egg products.
5. Mozzarella cheese.

Eligibility:

- Any proprietary firm or partnership firm or Limited Liability Partnership (LLP) or a Company registered in India or Co-operative selling food products completely manufactured in India, either by directly and/or through contract manufacturers.
- SME units manufacturing innovative/ organic food products across four product segments and making an application for seeking approval for coverage under the scheme.

Category-I

Applicants are large companies who apply for PLI incentive based on sales & investment criteria. Applicant under this category could undertake Branding & Marketing activities abroad

Category-II

SMEs applicants manufacturing innovative/ organic products who apply for PLI incentive based on Sales

Category-III

Applicants not covered under sales-based incentive and are applying solely for incentive for Branding & Marketing activities abroad.

3.1.4 PLI Scheme for Millet Based Products

The Government has approved the Production Linked Incentive Scheme for Food Processing Industry for Millet-based products (PLISMBP) for implementation during 2022-23 to 2026-27 with an outlay of 800 cores. The scheme is being implemented by the Ministry of Food Processing Industries (MoFPI).

Objective of the scheme:

The objectives of the Production Linked Incentive Scheme for Millet Based Products (PLISMBP) are to increase usage of millets in food products and promote its value addition.

These objectives are sought to be achieved through incentivizing manufacture of selected millet-based products and their sale in domestic and export markets.

Eligibility:

- Udyam Registration Certificate is mandatory for MSME Applicants.
- Incentive under the scheme shall be provided to the Applicants engaged in manufacturing or intending to manufacture eligible products in India & sales of such products.
- The entire chain of manufacturing process, including primary processing, of eligible food products starting from raw materials to finished product covered in the Application for incentive under the Scheme is required to take place in India. However, use of additives, flavors, and edible oil in millet products, this condition would not apply.

Appendix-A: Indicative list of Eligible Millet Based Food Products:		
S. No.	Product Category	Millet Based Products Covered
1.	Breakfast Cereals & Bars	Muesli & breakfast cereals, puffs, flakes granola, breakfast protein bars
2.	Bakery Products	Millet cookies, Cakes, Rusks
3.	Snacks/RTC & RTE	Noodles, Pasta, chips & crisps, Bread, Papad, Khakhra, Ice creams, extruded snacks, sweet & savory snacks.
4.	Mixes	Dosa, Idli, upma, Pongal & khichdi, Chakli mixes, soup.
5.	RTD Beverages	Millet based Instant Drink Mix (Powdered/ liquid)

Detailed guidelines can be referred from the link given below:
https://www.mofpi.gov.in/sites/default/files/operation_guidelines_on_production_linked_entire_scheme_for_millet_based_products_0001.pdf.

3.2 Other Government Initiatives

3.2.1 PMMSY (Pradhan Mantri Matsya Sampada Yojana)

The Department of Fisheries, Ministry of Fisheries, Animal Husbandry and Dairying, Government of India is implementing Pradhan Mantri Matsya Sampada Yojana – A scheme to bring about Blue Revolution through sustainable and responsible development of fisheries sector in India at an estimated investment of Rs. 20,050 crores for holistic development of fisheries sector including welfare of fishers. PMMSY is being implemented in all the States and Union Territories for a period of 5 years from FY 2020-21 to FY 2024-25.

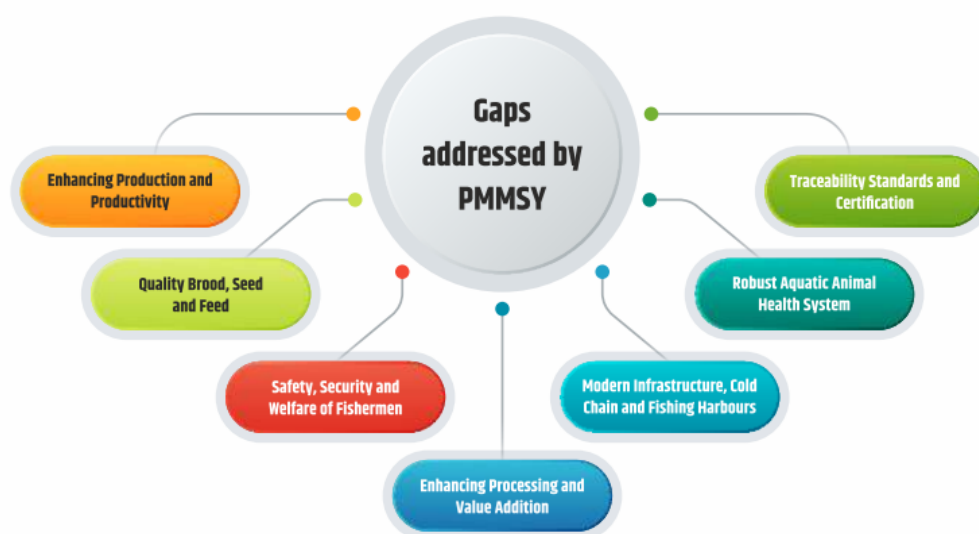
PMMSY is designed to address critical gaps in the fisheries value chain from fish production, productivity and quality to technology, post-harvest infrastructure and marketing. It aims to modernize and strengthen the value chain, enhance traceability and establish a robust fisheries management framework while simultaneously ensuring the socio-economic welfare of fishers and fish farmers.

From Blue Revolution to PMMSY

- ❖ Enhancement of fish production from 10.26 million metric tons (2014-15) to 13.75 million metric tons (2018-19).
- ❖ Productivity increased from 2.3 tons per hectare to 3.3 tons per hectare.
- ❖ Exports increased from Rs 33,442 crore to Rs 46,589 crore (2018-19).

Objectives of Scheme

- Harness the potential of the fisheries sector in a sustainable, responsible, inclusive and equitable manner
- Enhance fish production and productivity through expansion, intensification, diversification and productive utilization of land and water
- Modernize and strengthen the value chain including post-harvest management and quality improvement
- Double fishers and fish farmers' incomes and generate meaningful employment
- Enhance the contribution of the fisheries sector to Agricultural GVA and exports
- Ensure social, physical and economic security for fishers and fish farmers
- Build a robust fisheries management and regulatory framework



3.2.3 NPDD (National Program for Dairy Development)

The NPDD scheme aims to enhance quality of milk and milk products and increase share of organized milk procurement.



The scheme has two components:

- Component 'A'**: It focuses towards creating/strengthening of infrastructure for quality milk testing equipment as well as primary chilling facilities for State Cooperative Dairy Federations/ District Cooperative Milk Producers' Union/SHG run private dairy/Milk Producer Companies/Farmer Producer Organisations. The scheme will be implemented across the country for the period of five years from 2021-22 to 2025-26.
- Component 'B'** (Dairying Through Cooperatives) provides financial assistance from Japan International Cooperation Agency (JICA) as per project agreement already signed with them. It is an externally aided project, envisaged to be implemented during the period from 2021-22 to 2025-26 on pilot basis in Uttar Pradesh and Bihar initially with the objective of creation of necessary dairy infrastructure for the purpose of providing market linkages for the produce in villages and for strengthening of capacity building of stake-holding institutions from village to State level.

3.2.4 Credit Guarantee Scheme for Micro & Small Enterprises (CGTMSE)

Objective:

The scheme aims at motivating first generation entrepreneurs towards self-employment by providing credit guarantee funding for third-party guarantee-free / collateral free loans.

Key Benefits:

- Guarantee on credits for loans up to INR 2 crores, without third-party guarantee and collateral.
- Guarantee on coverages range from 75% (others) to 85% (Micro Enterprise up to INR 5 lakh).
- 50% of the coverage is for retail activity.

Applicable for:

Current Entrepreneurs and Aspirant Entrepreneurs.

SALIENT FEATURES

For detailed guidelines please visit <https://www.cgtmpse.in>

3.2.5 Scheme of Fund for Regeneration of Traditional Industries (SFURTI)

The scheme aims at establishing the traditional artisans and industries into clusters in order to support them towards competitive for long- term sustainability goals.

Key Benefits:

- Enabling traditional artisans to deliver sustainable employment.
- Financial Support: Government of India support up to INR 5 cr. for more than 500 artisans and INR 2.5 cr. up to 500 artisans.
- Enabling in setting up production facilities with modern machineries. Providing raw material support. Other support including marketing -business development and digitization.
- Soft Interventions up to INR 25 lakhs for skill development, exposure visits, buyer seller meets.

Scheme Applicable for:

- Present artisans from traditional industries
- Cluster of artisans in sectors such as Handicraft, Textile, Agro-Processing, Bamboo, Honey, Coir, Khadi etc.

Detailed guidelines is available on <https://sfurti.msme.gov.in/SFURTI/Home.aspx>

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PM Formalisation of Micro food processing Enterprises Scheme

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